

Oil at risk as Houthis seize Red Sea chokepoint

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【メール原文】

The Houthis' seizure of a critical Red Sea chokepoint leaves Saudi Arabia without an attractive military option. Russia and Ukraine are both preparing|||||||

Daily Brief

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Oil at risk as Houthis seize Red Sea chokepoint

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summary

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The Houthis' seizure of a critical Red Sea chokepoint leaves Saudi Arabia without an attractive military option.

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Russia and Ukraine are both preparing for escalation over the next six months, making the probability of serious ceasefire talks very low through early 2027.

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The US-China summit will likely deliver only a limited trade truce extension, as Washington preserves leverage over Beijing heading into 2027.

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US Secretary of State Marco Rubio's visit to Ecuador hands President Daniel Noboa a political boost ahead of November elections, though serious domestic vulnerabilities linger.

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Countries and sectors in this edition of the Daily Brief include the US, China, Ecuador, Russia, Saudi Arabia, Senegal, Ukraine, and oil.

the top line

Saudi Arabia, MENA Crisis—Saudi cannot reverse Houthi seizure of Bab al-Mandeb

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The Houthis' rapid seizure of the Bab al-Mandeb Strait—a critical Red Sea chokepoint—will drive a short-term spike in shipping risk, with Saudi-linked oil flows most affected, though other crude and refined-product shipments will also face delays and rerouting. Elevated volatility is likely over the next two to four weeks (see chart below).

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Saudi Arabia lacks an attractive military option to reverse the new status quo—front-line forces have collapsed, and escalation risks mission creep, direct retaliation, and attacks by Iran-backed Iraqi militias that reportedly coordinate with the Houthis, with no clear path to securing the waterway.

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Diplomacy will likely move faster than military escalation. Oman is best positioned to broker de-escalation, and Saudi Foreign Minister Prince Faisal bin Farhan Al Saud is already engaging Omani counterparts, signaling Riyadh's preference for a negotiated off-ramp, though Houthi leverage will likely endure.

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Read more here . Reach out to discuss: mena@eurasiagroup.net .

Oil, MENA Crisis—Chart of the Day

Russia, Ukraine—Escalation likely precludes ceasefire talks through spring 2027

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Despite the new US effort to restart negotiations, the probability of serious ceasefire talks remains very low at least through early 2027 (10% probability); real progress would require a substantive shift that softens both sides' positions.

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Positions have hardened since the last round of talks, the sides share no common ground on substance or participation, and both are preparing to escalate the war over the next six months to improve their positions.

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Even the most optimistic scenario would likely produce agreement only on the format of negotiations.

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Read more here . Reach out to discuss: europe@eurasiagroup.net .

China, US—Summit will yield only a limited trade truce extension

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The US-China summit will likely yield a limited extension of the Busan trade truce as Washington seeks to preserve leverage over Beijing. Counterintuitively, the narrower window could strengthen stability, giving both sides greater incentive to honor earlier commitments before the truce expires again in early 2027.

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Prospects for an AI dialogue remain limited, with AI set to be one issue among several when US Treasury Secretary Scott Bessent meets Chinese Vice Premier He Lifeng before the summit.

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A US intelligence report published 8 September accused China's top six AI firms of industrial-scale "malicious" distillation—copying outputs from US frontier models—but stopped short of recommending sanctions. Beijing's ministries rejected the findings as standard industry practice, warning of retaliation if the named firms face sanctions.

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Read more here . Reach out to discuss: china@eurasiagroup.net .

Ecuador—US support will bolster Noboa's security narrative

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Rubio, describing Ecuador as the region's "best ally" against organized crime, visited Noboa on 9 September—part of a regional security tour that will bolster Noboa's tough-on-crime

narrative—pledging to ask Congress for an additional \$45 million for security cooperation and \$10 million to combat illegal mining.

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Rubio also designated the Tiguerones gang as a terrorist organization, following his 2025 designations of Los Lobos and the Choneros—meaning US terrorist status now covers Ecuador's most powerful criminal organizations.

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Noboa will leverage the high-profile US endorsement to focus public attention on his security record ahead of the 29 November regional and local elections, but significant liabilities remain—including a fragile electricity situation, the impacts of El Niño, and Colombia raising prices on electricity exports amid its own supply constraints.

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Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

upcoming conference calls

11 September, 10:00 AM ET—MENA Crisis and oil update. Register here .

eg in depth

Senegal—Prime minister's address will likely ease budget passage in Senegal: Prime Minister Ahmadou Al Aminou Lo's first policy address to Senegal's National Assembly was designed to ease passage of the 2027 budget, a prerequisite for IMF board approval of a new \$2.2 billion program, by neutralizing opposition from Assembly Speaker Ousmane Sonko. Lo tied IMF-supported fiscal measures—revenue increases, better-targeted subsidies, and spending restraint—to policies in Sonko's own party program, undercutting his ability to portray the adjustment as purely austerity-driven. Lo's proposal to double targeted cash transfers to 140 billion CFA francs and expand coverage to one million vulnerable households reinforces that case. The government must pass the 2026 supplementary and 2027 budgets, among other requirements, to unlock IMF board approval. Because parliament previously passed a resolution against debt restructuring, authorities face pressure to pay upcoming bond coupons in the interim. If the 2027 budget passes by November, IMF approval could follow by year-end. Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming events:

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11 September: Data: US CPI, University of Michigan consumer sentiment, and federal budget balance.

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12 September: Events: 18th BRICS Summit begins in New Delhi, through 13 September.

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13 September: Events: European Arctic Summit begins in Rovaniemi, Finland, through 14 September.

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14 September: Central bank decision: Pakistan.

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15 September: Events: US Treasury Secretary Scott Bessent to appear before the House Financial Services Committee for annual testimony on the international financial system; Data: China property

prices, retail sales, and industrial production.

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16 September: Data: Eurozone IP, Japan trade, and UK CPI; Central bank decisions: Brazil and United States.

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17 September: Data: Eurozone CPI; Central bank decisions: UK.

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18 September: Events: NATO Military Committee Conference begins in Copenhagen, through 19 September; Data: Japan CPI, and US IP; Central bank decision: Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Martina Silva, Blaise Hanson, and Trista Kelley.

closing quip

“Our nation came together with a unity and purpose that is distinctively American. We mourned as one people. We prayed as one nation. The terrorists sought to break our spirit—they failed. They sought to divide us—they could not.”—President Donald Trump said in a statement this week commemorating the anniversary of the 9/11 attacks.

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